

Formulating Financial Goals

Experienced financial advisors know that defining financial goals is critical to creating an investment program appropriate for the client. To best define financial goals, it is helpful to understand the psychology and the emotions underlying the decisions behind creating the goals. Upcoming chapters in this book will suggest ways in which advisors can use behavioral finance to discern why investors are setting the goals that they are. Such insights equip the advisor in deepening the bond with the client, producing a better investment outcome and achieving a better advisory relationship.

Maintaining a Consistent Approach

Most successful advisors exercise a consistent approach to delivering wealth management services. Incorporating the benefits of behavioral finance can become part of that discipline and would not mandate large-scale changes in the advisor's methods. Behavioral finance can also add more professionalism and structure to the relationship because advisors can use it in the process for getting to know the client, which precedes the delivery of any actual investment advice. This step will be appreciated by clients, and it will make the relationship more successful.

Delivering What the Client Expects

Perhaps there is no other aspect of the advisory relationship that could benefit more from behavioral finance. Addressing client expectations is essential to a successful relationship; in many unfortunate instances, the advisor doesn't deliver the client's expectations because the advisor doesn't understand the needs of the client. Behavioral finance provides a context in which the advisor can take a step back and attempt to really understand the motivations of the client. Having gotten to the root of the client's expectations, the advisor is then more equipped to help realize them.

Ensuring Mutual Benefits

There is no question that measures taken that result in happier, more satisfied clients will also improve the advisor's practice and work life. Incorporating insights from behavioral finance into the advisory relationship will enhance that relationship, and it will lead to more fruitful results.

It is well known by those in the individual investor advisory business that investment results are not the primary reason that a client seeks a new advisor. The number-one reason that practitioners lose clients is that clients do not feel as though their advisors understand, or attempt to understand,